

MERIDIAN TECHNOLOGIES PVT. LTD.

Internal Policy Document

Performance Management Policy

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1. Purpose

Objective

The Performance Management Policy provides a structured framework for setting, reviewing, and rewarding individual performance at Meridian Technologies.

The goal of the framework is to align individual contributions with the broader strategic priorities of the company and to enable continuous growth for each employee.

Underlying Beliefs

Performance management is a continuous process, not a once-a-year event. Formal reviews codify what should already have been visible through regular conversations between the employee and the Reporting Manager.

Fairness, transparency, and developmental orientation are the three values that guide the operation of this policy.

2. Performance Cycle

Cycle Calendar

The performance management year runs from 1 April to 31 March. Goal-setting is completed by 30 April. Mid-year review is conducted in October. Annual appraisal is completed by 31 May of the following year.

Employees joining mid-cycle are governed by a pro-rated cycle aligned to their joining date.

Conversations and Documentation

Each milestone in the cycle is supported by a formal conversation between the employee and the Reporting Manager, documented in the HRMS Performance module.

3. Goal Setting

SMART Goals

Goals are set jointly by the employee and the Reporting Manager, using the SMART framework (Specific, Measurable, Achievable, Relevant, Time-bound).

Each goal must clearly identify how achievement will be measured at the end of the cycle to avoid subjectivity at appraisal time.

Goal Count and Weight

Each employee should have between 5 and 8 goals, with explicit weighting that sums to 100 percent. At least one goal must be a development or learning goal.

Goal revision during the year is permitted with manager agreement and is encouraged when business priorities shift materially.

4. Rating Scale

Scale Definition

Annual performance is rated on a 5-point scale: 1 - Below Expectations, 2 - Partially Meets Expectations, 3 - Meets Expectations, 4 - Exceeds Expectations, 5 - Outstanding.

The rating reflects performance against the agreed goals as well as how those results were achieved (the behavioural dimension).

Computation

Final ratings are computed as a weighted score of goal achievement (70 percent) and behavioural competencies (30 percent), and then mapped to the 5-point scale.

Where a goal could not be pursued for reasons outside the employee's control, the manager should record a written note and exclude the goal from the weighted computation with HR Business Partner concurrence.

5. Calibration

Forced Distribution

All ratings are calibrated through a forced-distribution guideline at the Business Unit level: not more than 15 percent rated Outstanding or Exceeds combined, and not more than 10 percent rated Below or Partially Meets combined.

The guideline is an aid to consistency and is not interpreted mechanically at the team level; smaller teams may legitimately deviate from the overall distribution.

Calibration Forum

Calibration discussions are chaired by the Business Unit Head and attended by the HR Business Partner.

Calibration discussions are confidential; managers should not discuss other employees' performance with their direct reports.

6. Performance Improvement Plan

PIP Construct

Employees rated Below Expectations are placed on a formal Performance Improvement Plan (PIP) of 90 days duration. The PIP contains specific, measurable improvement goals and weekly check-ins.

The objective of the PIP is genuine improvement; managers are expected to provide active coaching and timely feedback through the PIP period.

PIP Outcomes

At the end of the PIP, performance is reviewed. Successful completion restores normal status. Unsuccessful completion may lead to extension by 30 days, role change, or separation, as decided by HR and the Business Unit Head jointly.

Where a PIP is in progress, the employee is not eligible for promotion or for variable pay tied to high performance.

7. Promotion Eligibility

Readiness Criteria

Promotion is based on demonstrated readiness for the next role and is independent of the annual rating, though a minimum rating of Meets Expectations is required.

Readiness is assessed against the competency framework for the target level, not merely on time spent in the current role.

Tenure Threshold

A minimum tenure of 18 months in the current role is required for promotion consideration. Exceptions for high-potential employees require Business Unit Head and HR Head approval.

Promotion decisions are made during the annual cycle by the Promotion Committee comprising the Business Unit Head, HR Business Partner, and an independent member from a peer business unit.

8. Recognition and Rewards

Annual Rewards

Annual increments and variable pay are linked to the final rating and Business Unit performance. The exact ratio is communicated during the annual compensation cycle.

Increments take effect from 1 July each year following the appraisal completion.

Spot Recognition

Spot recognition awards and quarterly excellence awards provide non-cycle recognition opportunities, governed by the Rewards and Recognition guideline.

Managers are encouraged to use spot recognition liberally to reinforce desired behaviours close to the time of the achievement.

9. Appeals

Filing an Appeal

Employees who disagree with their final rating may file a written appeal to the HR Head within 10 working days of communication. Appeals are reviewed by a panel consisting of the HR Head, Business Unit Head, and the next-level reviewer.

Appeals must clearly state the grounds for disagreement and any supporting evidence.

Panel Decision

The panel's decision on an appeal is final. The appeal process typically completes within 15 working days from the date of filing.

10. Confidentiality

Personal Data

All performance information is strictly confidential. Disclosure of one's own or another employee's performance information to unauthorised parties is a breach of conduct.

Access to performance data is on a need-to-know basis and is logged in the HRMS for audit purposes.

Retention

Performance records are retained for the duration of employment and 5 years post separation, in line with the Records Retention section of the Data Security Policy.